

Standard Chartered

High teens ROTE a possibility medium term

Reiterate Rating: NEUTRAL | PO: 209.80 HKD | Price: 192.20 HKD

Q1 a good set up for Asia seminar

Standard Chartered printed a strong set of 1Q26 numbers. Wealth was the standout with Wealth fee income up >30% year on year. This provides a good set up for the upcoming investor seminar (19-21 May) due to take place in Hong Kong. We set out our expectations for the event in [Anticip-Asian: HSBC and Standard Chartered investor seminar preview 15 April 2026](#), also published today. We expect the focus to be on (i) next phase of the Asia Wealth story, and (ii) Capital markets structural growth opportunity.

ROTE guidance: base case mid teens, high teens possible

Standard Chartered has committed to providing medium term financial guidance at this event. Our base case includes: (i) Revenue growth in the 5-7% CAGR range; (ii) Average wealth net new money growth of c.\$50bn per year, up from \$40bn implied by current guidance, (iii) Positive jaws every year, (iv) Total capital returns 2026-2028 >\$12bn, (v) Mid-teens ROTE in both 2027 and 2028. We think a bull case scenario could include the following: (i) Revenue growth in the 5-7% range, supported by Wealth Solutions income growth at high teens CAGR; (ii) Cost growth in the low single digits CAGR; cost income ratio falling to mid 50s by 2028 (iii) through-the-cycle impairment rate rebased to 25-30bps, (iv) Total capital returns 2026-2028 c.\$14bn, (v) High teens ROTE in 2028.

Overall: Strong growth vs cost and capital discipline

Standard Chartered's revenue growth had been impressive in recent years, as it took advantage of the growth opportunities in its footprint markets. We remain constructive in its growth profile, but going forward, we think improving profitability to high teens ROTE will require cost and capital discipline especially in the CIB, and we are looking forward to hearing management's views on this later this month. In the meantime, there remains uncertainty around the conflict in the Middle East, and valuation is not cheap versus the sector at 1.4x P/TBV 26e even for mid-teens medium term ROTE (sector trading at similar P/TBV 26e for c.18% ROTE). P/E 27e of 9x is also c.10% above sector averages. We remain Neutral, PO HKD209.80.

Estimates (Dec) (US\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	5,565	6,424	5,163	5,830	6,294
EPS	2.19	2.75	2.36	2.80	3.16
EPS Change (YoY)	30.8%	25.8%	-14.4%	18.7%	13.1%
Consensus EPS (Visible Alpha)			2.33	2.72	3.09
Dividend / Share	0.37	0.61	0.71	0.84	0.95
Adjusted NAV PS	15.41	17.30	18.20	19.74	21.46
Valuation (Dec)					
P/E	11.21x	8.91x	10.41x	8.77x	7.76x
Price / NAV	1.59x	1.42x	1.35x	1.24x	1.14x
Net Yield	1.51%	2.49%	2.88%	3.42%	3.87%

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Refer to important disclosures on page 15 to 17. Analyst Certification on page 12. Price Objective Basis/Risk on page 12.

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06 May 2026

Equity

Key Changes

(US\$)	Previous	Current
2026E EPS	2.22	2.36
2027E EPS	2.75	2.80
2028E EPS	3.11	3.16

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Stock Data

Price	192.20 HKD
Price Objective	209.80 HKD
Date Established	2-Feb-2026
Investment Opinion	B-2-7
52-Week Range	108.20 HKD-206.00 HKD
Mkt Val / Shares Out (mn)	54,360 USD / 2,216.3
Market Value (mn)	425,981 HKD
Average Daily Value (mn)	31.66 USD
Free Float	100.0%
BofA Ticker / Exchange	XCHBF / HKG
Bloomberg / Reuters	2888 HK / 2888.HK
ROE (2026E)	11.0%

AUM: assets under management

CIB: Corporate & Investment Banking

ECL: expected credit loss

k: thousand

NII: net interest income

ROTE: return on tangible equity

TBV: tangible book value

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Key Income Statement Data (Dec)

(US\$ Millions)

	2024A	2025A	2026E	2027E	2028E
Net Interest Income	11,112	11,184	11,430	11,787	12,178
Net Fee Income	NA	NA	NA	NA	NA
Securities Gains / (Losses)	NA	NA	NA	NA	NA
Other Income	8,431	9,758	10,941	11,716	12,509
Total Non-Interest Income	8,431	9,758	10,941	11,716	12,509
Total Operating Income	19,543	20,942	22,371	23,503	24,686
Operating Expenses	(12,502)	(13,304)	(13,363)	(13,568)	(14,086)
Pre-Provision Profit	7,041	7,638	9,008	9,935	10,600
Provisions Expense	(1,135)	(737.00)	(1,103)	(1,056)	(1,080)
Operating Profit	NA	NA	NA	NA	NA
Non-Operating Income	108.00	62.00	(10.00)	(10.00)	(10.00)
Pre-Tax Income	6,014	6,963	7,894	8,869	9,510
Net Income to Comm S/Hold.	3,593	4,558	5,163	5,830	6,294
Adjusted Net Income (Operating)	5,565	6,424	5,163	5,830	6,294

Key Balance Sheet Data

Total Assets	849,688	919,955	999,524	1,020,137	1,041,341
Average Interest Earning Assets	539,338	550,930	580,220	630,311	651,219
Weighted Risk Assets	247,065	258,031	271,235	280,079	289,253
Total Gross Customer Loans	285,936	290,849	302,039	311,144	320,495
Total Customer Deposits	464,489	530,161	558,487	580,843	604,155
Tier 1 Capital	41,672	43,949	43,896	45,193	46,856
Tangible Equity	38,597	40,362	40,364	41,661	43,260
Common Shareholders' Equity	44,388	46,593	46,869	48,365	50,168

Key Metrics

Net Interest Margin	2.06%	2.03%	1.97%	1.87%	1.87%
Tier 1 Ratio	16.9%	17.0%	16.2%	16.1%	16.2%
Effective Tax Rate	32.8%	26.8%	27.0%	27.5%	27.5%
Loan / Assets Ratio	33.1%	31.2%	29.8%	30.1%	30.4%
Loan / Deposit Ratio	60.5%	54.1%	53.4%	52.9%	52.4%
Oper Leverage (Inc Growth - Cost Growth)	0.2%	0.7%	6.4%	3.5%	1.2%
Gearing (Assets / Equity)	19.1x	19.7x	21.3x	21.1x	20.8x
Tangible Common Equity / Assets	4.5%	4.4%	4.0%	4.1%	4.2%
Tangible Common Equity / WRAs	15.6%	15.6%	14.9%	14.9%	15.0%
Revenue Growth	8.5%	7.2%	6.8%	5.1%	5.0%
Operating Expense Growth	8.2%	6.4%	0.4%	1.5%	3.8%
Provisions Expense Growth	-25.1%	-35.1%	49.7%	-4.3%	2.3%
Operating Revenue / Average Assets	0.7%	0.8%	0.8%	0.9%	0.9%
Operating Expenses / Average Assets	-1.5%	-1.5%	-1.4%	-1.3%	-1.4%
Pre-Provision ROA	0.8%	0.9%	0.9%	1.0%	1.0%
ROA	0.4%	0.5%	0.5%	0.6%	0.6%
Pre-Provision ROE	15.9%	16.8%	19.3%	20.9%	21.5%
ROE	8.1%	10.0%	11.0%	12.2%	12.8%
RoTE	15.1%	16.9%	13.3%	14.8%	15.4%
RoWRAs	8.0%	8.3%	8.5%	8.5%	8.7%
Dividend Payout Ratio	16.9%	22.2%	30.0%	30.0%	30.0%
Efficiency Ratio	64.0%	63.5%	59.7%	57.7%	57.1%
Headline Cost/Income Ratio	NA	NA	NA	NA	NA
Total Non-Interest Inc / Operating Inc	57%	53%	51%	50%	49%
Market-Related Revenue / Total Revenues	0%	0%	0%	0%	0%
Provisioning Burden as % of PPP	16.1%	9.6%	12.2%	10.6%	10.2%
NPLs plus Foreclosed Real Estate / Loans	NA	NA	NA	NA	NA
Loan Loss Reserves / NPLs	79.1%	68.1%	65.6%	63.7%	61.8%
Loan Loss Reserves / Total Loans	1.7%	1.4%	1.4%	1.3%	1.3%
Provisions Expense / Average Loans	0.4%	0.3%	0.4%	0.3%	0.3%

Other Metrics

Income / Employee	NA	NA	NA	NA	NA
(Operating Expenses) / Employee	NA	NA	NA	NA	NA
Pre-Provision Profit / Employee	NA	NA	NA	NA	NA
Net Profit / Employee	NA	NA	NA	NA	NA

Company Sector

Banks-Multinational/Universal

Company Description

Standard Chartered is headquartered in London, but its major operations are in Asia and Africa, with a diverse footprint within these continents. Standard Chartered has three main divisions, including Wealth and Retail Banking, Corporate and Institutional Banking, and Ventures. The shares are listed in both London and Hong Kong in a dual primary listing.

Investment Rationale

We rate Standard Chartered Neutral. We expect Wealth growth to remain strong, and management has been successful in terms of creating differentiated products that are highly valued by their target customers. There is potential downside on NII in a falling US rate environment. We also see downside risk to cost, particularly below the line. Shares are not expensive, but also not obviously cheap versus the sector.

Stock Data

Price to Book Value

1.1x



Mid teens ROTE medium term, high teens possible

Management has committed to providing medium term financial guidance in May (2026 targets already given at FY25). We expect guidance on the following: (i) ROTE, (ii) Cost growth, (iii) Revenue growth, (iv) Wealth KPI (e.g. AUM, net new money, fee income growth), (v) capital returns.

Recapping 2023-2025 performance and 2026 guidance (all reiterated in Q1):

- 20% income growth
- Positive cost income jaws in both 2024 and 2025
- >\$8bn capital distribution for FY24-FY25 (not including \$1bn announced in Feb-24 in relation to FY23)
- 2026 income growth to be around the bottom end of 5-7% range, with NII broadly flat yoy
- 2026 reported cost to be broadly flat yoy
- Statutory ROTE in 2026 >12%

Our base case expectations of headline targets for 2027-2028 include:

- Revenue growth in the 5-7% CAGR range
- Average wealth net new money growth of c.\$50bn per year, up from \$40bn (based on current \$200bn net new money over 5 years target)
- Positive jaws every year, cost income ratio in the high 50s by 2028
- Total capital returns 2026-2028 >\$12bn
- Mid teens ROTE in both 2027 and 2028

We can also see a bull case scenario, which may include the following:

- Revenue growth in the 5-7% range, supported by Wealth Solutions income growth at high teens CAGR (2025-2028)
- Cost growth CAGR in the low single digits; cost income ratio falling to mid 50s by 2028
- Total capital returns of 2026-2028 >\$14bn
- Effective tax rate at 26.5% (base case 27.5%)
- Impairment rate at c.25-30bps (base case remaining at 30-35bps)
- High teens ROTE in 2028
- RWA growth broadly tracks loan growth

Exhibit 1: Base case forecast and assumptions, 2027-2028

We expect Standard Chartered to be able to reach c.15% ROTE in both 2027 and 2028

Base case				
	2027	2028	Key assumptions	
Revenue	23,503	24,686	Revenue CAGR	5%
Cost	(13,568)	(14,086)	Cost CAGR	3%
Pre provision profit	9,935	10,600	Impairment rate	0.32%
			Tax rate	27.5%
Credit impairment	(991)	(1,015)		
Other impairment	(65)	(65)		
Associates	(10)	(10)		
PBT	8,869	9,510		
Tax	(2,439)	(2,615)		
Minority	(600)	(600)		
Attributable Profit	5,830	6,294		
ROTE	14.8%	15.4%		

Source: BofA Global Research estimates

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Exhibit 2: Bull case forecast and assumptions, 2027-2028

We think it is possible that Standard Chartered can reach high teens ROTE in 2028

Bull case				
	2027	2028	Key assumptions	
Revenue	23,668	25,061	Revenue CAGR	6%
Cost	(13,282)	(13,666)	Cost CAGR	1%
Pre provision profit	10,395	11,395	Impairment rate	0.26%
			Tax rate	26.5%
Credit impairment	(833)	(870)		
Other impairment	(65)	(65)		
Associates	(10)	(10)		
PBT	9,478	10,450		
Tax	(2,512)	(2,769)		
Minority	(600)	(600)		
Attributable Profit	6,366	7,081		
ROTE	16.1%	17.2%		

Source: BofA Global Research estimates

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Base case largely captured by consensus (based on company compiled pre 1Q26 consensus)

2028 ROTE: BofA base case mid teens, consensus 15.1%

Wealth fee income growth: BofA base case c.11-15%, consensus c.12-14% in 2027-2028

2028 Cost income ratio: BofA Base case 57%, consensus 56%

2026-2028 total distribution: BofA Base case c.\$13bn, consensus c.\$12.9bn

Asia Wealth – remaining the growth engine

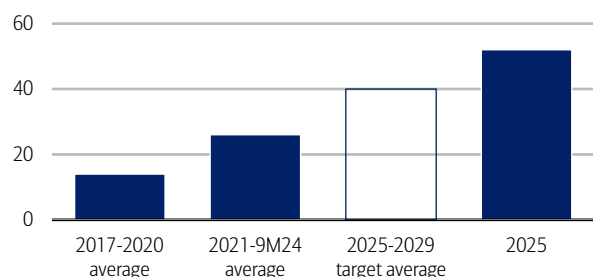
We note that at the end of 2024, management provided the following targets for 2025-2029 at the Affluent Investor Seminar:

- **Net New Money:** \$200bn (i.e. average \$40bn per year)
- **Wealth Solutions income:** Double-digit CAGR
- Affluent income share of WRB to reach 75%

2025 performance was above run-rate implied by the targets above. Net new money was \$52bn (Q1 a further \$18bn), and wealth solutions income grew by 24%.

Exhibit 3: Net new money average (i) per annum (\$bn)

2025 was c.30% above target average



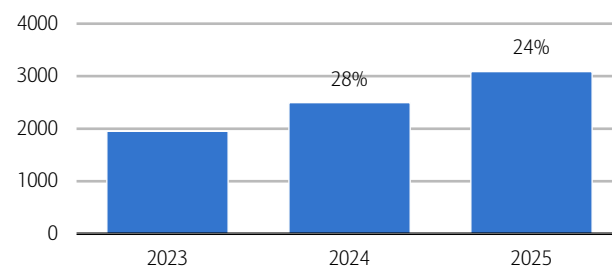
Source: Affluent Investor Presentation, Dec-24

(i) Simple average over the period

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Exhibit 4: Wealth fee income growth, Standard Chartered, 2023-2025

This line grew by 28% and 24% in 2024 and 2025



Source: Company reports

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Net new money base case: Stay at c.\$50bn per year

While we do acknowledge that 2024 and 2025 were particularly strong years for wealth, we see no reason to expect the absolute growth to slow given the positive developments we have highlighted in the previous section. Deposit growth for example is still growing at high single digits, on top of the growth we had already seen in the last two years.

Wealth Solutions income growth base case 2025-2029: double digit each year, and/ or mid-teens CAGR

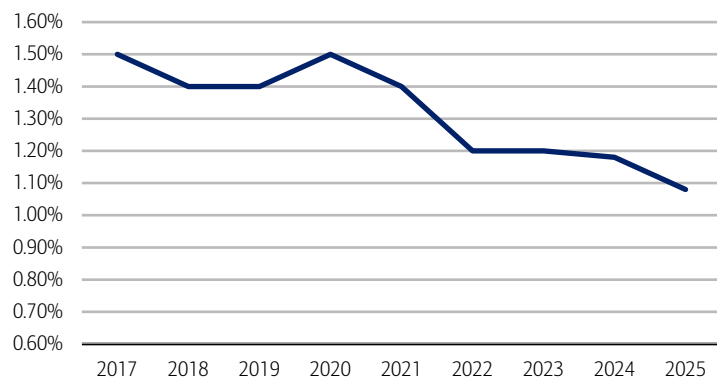
Net new money is only one input to the Wealth Solutions income growth. Two other key assumptions include (i) wealth margins (not specifically reported and targeted), and (ii) bancassurance growth. We have assumed a small increase in margins in our base case. Wealth margins (defined as investment product income/ average wealth AUM) declined in 2022 and 2023 due to Covid, and further in 2025, in part because there was a shift from custody to assets under management from a handful of private bank clients in Q424 – which drove up AUM and drove down margins.

Going forward assuming more wealth deposits shift to investment products we would expect margins to recover.



Exhibit 5: Return on total wealth AUM

Investment Products income / average total wealth AUM, annualised



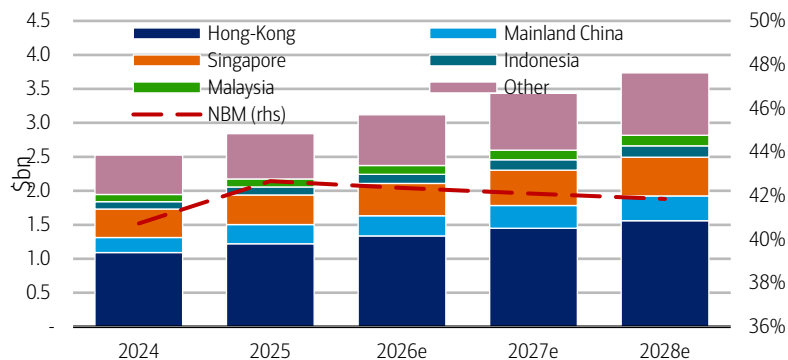
Source: Company reports, BofA Global Research estimates

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On the insurance side, we have modelled growth rate of c.12% (in line with 2024-2025 performance). Standard Chartered has a longstanding (>25 years) partnership with Prudential. Our Insurance models a 10% new business premium (NBP) CAGR over coming years with a flat margin – which they see as conservative. See our report : [Prudential PLC: The Fire Horse of insurance 19 March 2026](#)

Exhibit 6: PRU New business profits by region and new business margin

We model a 10% NBP CAGR over coming years with a flat margin which we see as conservative



Source: Company data, BofA Global Research estimates

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Our base case assumptions see total Wealth Solutions income grow by a CAGR of c.15% between 2025-2028.

Bull case scenario – high teens CAGR in Wealth Solutions

With deposit flows into Hong Kong remaining strong and the growth rate remaining at high single digits, a case can be made that net new money flows would also be growing in percentage terms, not just in absolute terms. 1Q26 print would support this thesis, with record net new money inflows of \$18bn. In our bull case scenario we have net new money growing at \$60-65bn in 2027 and 2028.

Part of Standard Chartered's strategy has been to attract deposits from affluent customers, and then converting them to wealth AUM. This should improve margins over time. It is therefore possible to see a more marked increase in margins. A case can also be made that insurance could grow at a higher rate, as factors such as population ageing, growing healthcare demand, wealth planning for the next generation etc. should support structural growth in insurance as well.

CIB – current targets reasonable

We note that in 2025, management provided the following medium term targets for the CIB division at the CIB Investor Seminar:



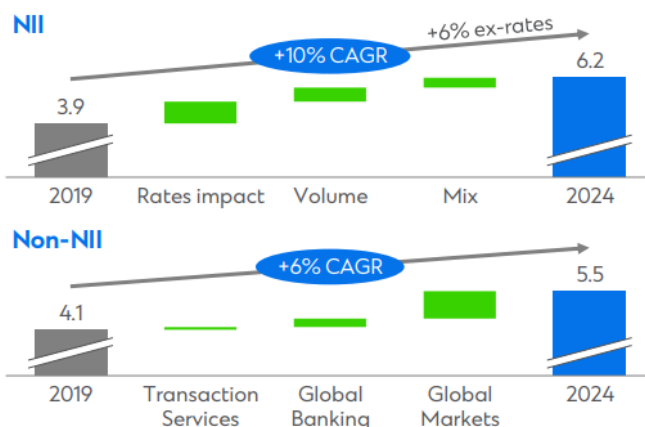
- Income growth of 5-7% CAGR at constant currency, excluding rates impact
- Positive income to cost jaws
- Income returns on RWA to build from 2024 levels
- Network income c.70% and Financial Institutions income c.60% of CIB income

The CIB business is made up of Transaction Services (c.50%), Banking (c.20%) and Markets (c.30%). Current targets are broadly in line with performance seen in recent years. While structural trends remain positive, Global Banking and Markets by nature have more lumpiness in their income profiles. As such, we do not expect management to update targets in May.

Income growth CAGR excluding rates impact is not straightforward to track, as NII at the divisional level is not reported regularly. That said, in the CIB seminar in 2025 management did provide a breakdown for 2024 – CIB NII was c.55% of Group NII that year. Assuming the split has remained broadly similar, and that the total rate impact was in line with the sensitivity disclosure, 2025 income growth was also c.6% ex rate impacts.

Exhibit 7: CIB income CAGR, 2019-2024

CIB income has been growing at c.6% CAGR ex rates



Source: Standard Chartered CIB Investor Seminar, May-25

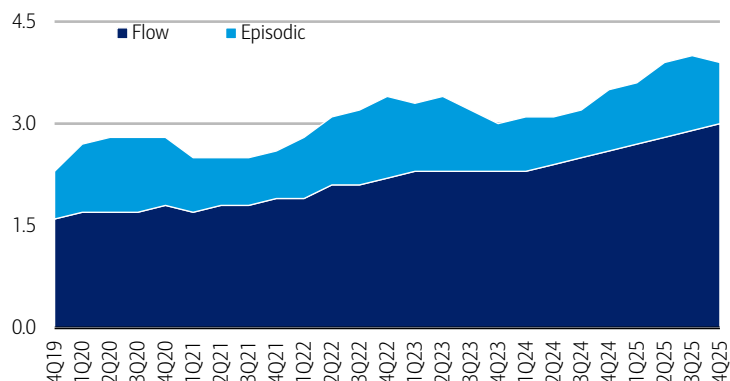
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Markets – flow income growth in the high single digits/ low teens

The Markets business has been growing total income by high single digits CAGR since 2019. Episodic income understandably fluctuates depending on market conditions but flow income growth has been growing sustainably at these levels.

Exhibit 8: Global Markets: Flow and episodic last 12-month rolling income (\$bn)

Flow income has been growing consistently for the last 6 years



Source: Company reports

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Banking – strong 2025 but from relatively weak 2024

Banking grew strongly in 2025 (up 15% year on year), but in part reversing a relatively weak 2024 (down 4%). Given the primary pipeline outlined in the previous section we would expect 2026 to remain a strong year and Q1 was off to a strong start. Versus 2023, 2025 was c.10% above.

However capital efficiency may be a challenge, 1Q26 CIB RWA grew 8% in one quarter

Income return on risk weighted assets has come a long way from c.4.9% in 2019; however since 2023 it had been declining – largely driven by RWA increases. Income grew by 0% and 4% respectively in 2024 and 2026, whereas RWA increased by 9% and 4%.

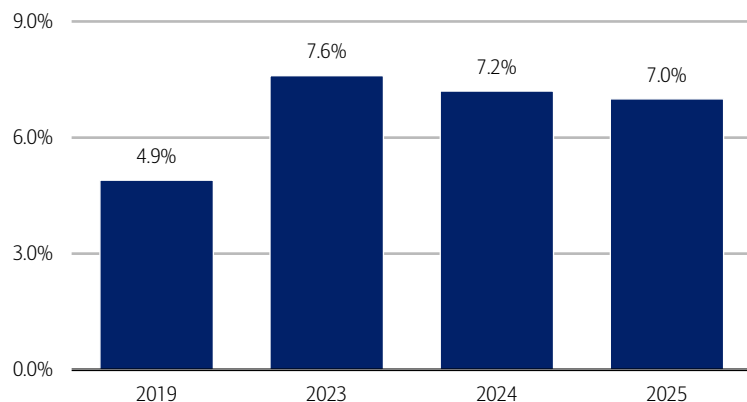
In 1Q26, RWA increase in the CIB was 8% in the quarter, reflecting higher Market Risk as well as activity levels. Consequently, despite income growth of 7% year on year, income return on RWA was flat at 7.7%.

This is in some ways out of line with other European IBs, many of which have been able to grow income while keeping RWAs broadly stable

We have assumed in both our base case and bull case that management can maintain RWA growth broadly in line with income growth, with income return on RWAs broadly stable from 2026. However, we recognise that this may be more challenging to achieve in reality, especially if lending demand returns.

Exhibit 9: CIB Income to RWA, %

Income return on RWA declined since 2023, driven by higher RWA growth



Source: Company reports

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Digital Banks – Breaking even soon, not moving the dial just yet

Standard Chartered's two digital banks in Asia, Mox (Hong Kong) and Trust (Singapore), are close to breaking even. Management previously said that Mox and Trust are both expected to be profitable in 2026.

The latest development in Mox involves it acquiring a US\$1 billion (over HK\$7.8 billion) personal instalment loan portfolio from the parent entity. The transaction is conducted on an arm's length basis and should support Mox's profitability. Mox remained loss making in H125 even on a pre-provisional basis – although the loss fell by around one third year on year, driven by higher NII.

Although at the group income level, the transfer of the loan book does not make a difference financially, it could help Mox achieve scale earlier, provide cross selling opportunities, and accelerate growth.

That said, we think the digital banks are unlikely to be a major revenue/ profit driver for the upcoming strategy cycle, despite strong growth seen since their launches. In Hong



Kong, only two of the eight virtual banks have achieved profitability in H125. While it is pleasing to see costs remaining broadly stable in the last few years, there is still the need to build scale and broaden the product offering. For example, in 2025 Mox launched Mox Insure, offering personal accident and travel insurance products, and both Mox and Trust expanded investment/ wealth products in the year as well.

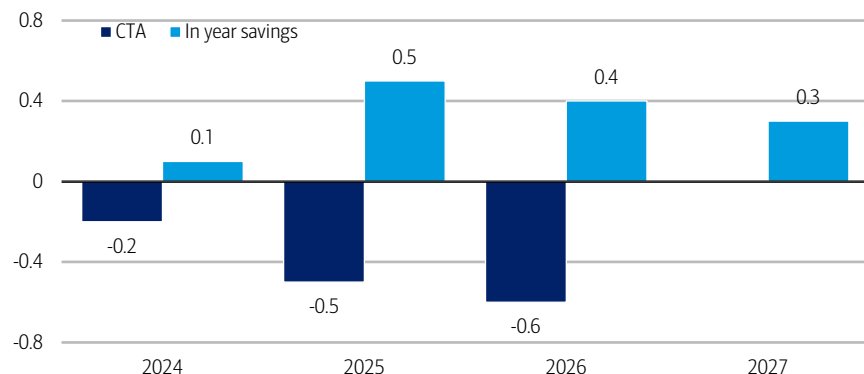
Cost – Fit for Growth dropping out in 2027; base case 2-4% in 2027-2028

We are pleased to see management moving below the line restructuring costs above the line, and only reporting costs on an all in basis. We think this provides much greater clarity on the operating performance of the bank.

We note that the company is in the third and final year of its Fit For Growth (FFG) cost programme, which is expected to cost c.\$1.3bn and deliver c.\$1.3bn of cost savings.

Exhibit 10: Fit For Growth delivery over time (\$bn)

Spend in 2026 around c.\$0.6bn



Source: Company reports

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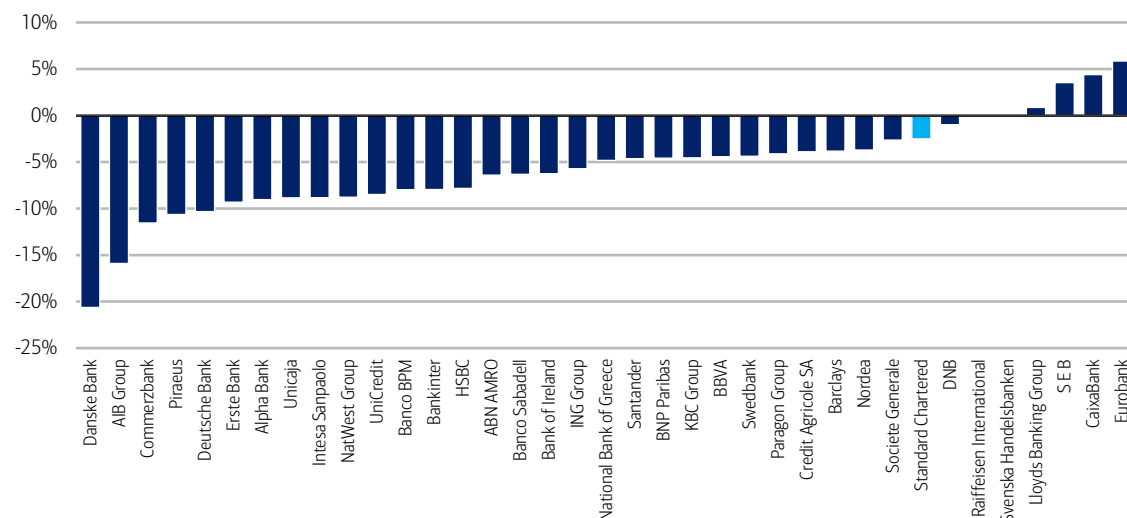
Management has already guided to 2026 cost (broadly flat year on year vs 2025) and we feel comfortable that this can be achieved. The wider question is what is the underlying cost run-rate in the medium term. In theory, with the non-recurrence of the \$0.6bn Fit For Growth cost to achieve, and \$0.3bn of cost savings realizing in the year, absolute cost could fall in 2027.

Our base case remains that costs would grow by c.2% in 2027, although we acknowledge the upside potential. In our view, it is a tough ask for any bank to deliver falling absolute costs, but perhaps even more challenging for one that is still investing for growth. AI may be able to drive further efficiencies, but it is also likely to require further investments upfront.

On an all in cost basis, including restructuring but excluding notable items, cost increased by 6-7% in the last couple of years. Cost income ratio was broadly unchanged at c.63-64% since 2023, and only reduced slightly vs 66% in 2022. At the sector level most banks saw cost income ratio falling by c.6% between 2022-2025.

Exhibit 11: Cost income ratio, FY22-25

On average, European banks have reduced cost income ratio by c.6% between 2022-2025



Source: Company reports

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Bull case scenario– Cost -1-2% in 2027, 3% cost growth in 2028

As we noted previously, if we were to apply c.6% underlying cost growth (including investment spend), assume the \$0.6bn Fit For Growth cost to achieve to drop out, and apply the \$0.3bn efficiency saving, 2027 cost could be c.\$13.1bn. For 2028, assuming cost growth broadly in line with inflation (c.2-3% per Bloomberg forecasts), and further investments in the business are self-funded from efficiency savings, amplified by AI, it is possible that cost growth could be in the low single digits.

Other areas of potential upside – tax and impairments

While not central to the investment thesis, we think there could be upsides from (i) lower effective tax rate guidance, and (ii) lower through the cycle impairment guidance.

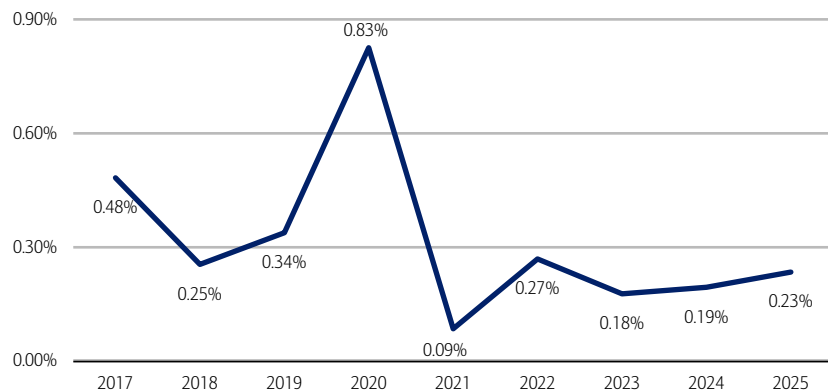
On effective tax rate, this used to be in the low 30s, but was down to 27% in 2025 (which benefitted from a number of one-offs). As a matter of sensitivity, a reduction of effective tax rate from 30% to 27% would change ROTE by c.0.5%.

Management has guided to long-term effective tax rate in the high 20s. It would be a positive if management could provide more confidence that this could be in the lower end of the range, or trend even lower over time. Consensus currently factors in c.28% tax rate for the forecast period. In our bull case scenario we assume an effective tax rate of 26.5%.

On impairments, like most other European banks, Standard Chartered has printed loan loss rates much lower than their historic through the cycle range (30-35bps) in recent years. Other than in 2020 where modelled impairments were elevated due to Covid, loan loss rate has not been above 35bps since 2018; in fact in the last four years the loan loss rate averaged at c.20bps.

Exhibit 12: Standard Chartered loan loss rate, 2017-2025

Loan loss rate has not been above 35bps since 2018, other than during Covid



Source: Company reports

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Based on the experience in the last eight years, we think it would be reasonable to guide to a through the cycle loan loss rate range of 25-30bps.

Capital and Distribution – at least 7-8% per year total yield

We expect capital and distribution to be more of an output than an input.

In terms of the form of capital returns, FY25 total dividend payout was c.30%, and management did not seem uncomfortable with these levels going forward.

- **Bill Winters, Standard Chartered CEO, FY25 results** – “we think we’re getting to something like a 30% payout ratio in this environment makes sense. And we have every intention of continuing to grow our earnings and continuing to grow our dividend.”

For our base case we forecast \$3bn of buybacks per year (announced), and 30% payout (c.\$1.7-\$1.8bn per year.) for 2027-2028.

In our bull case scenario where we forecast higher earnings which would partly translate into higher distributions, total yield could be 8-9% per year.

Estimate changes post 1Q26 (base case)

Exhibit 13: Estimate changes post 1Q26

We have increased PBT by 2-4% across 2026-2028, largely reflecting higher income growth

	2026E			2027E			2028E		
	New	Old	Change	New	Old	Change	New	Old	Change
Underlying P&L (\$m)									
Net interest income	11,430	11,587	-1%	11,787	11,859	-1%	12,178	12,225	0%
Non Interest income	10,941	10,550	4%	11,716	11,459	2%	12,509	12,231	2%
Total income	22,371	22,137	1%	23,503	23,318	1%	24,686	24,456	1%
Operating costs	(13,363)	(13,336)	0%	(13,568)	(13,540)	0%	(14,086)	(14,057)	0%
Pre-provision profits	9,008	8,801	2%	9,935	9,779	2%	10,600	10,399	2%
Credit impairment	(1,058)	(1,154)	-8%	(991)	(1,003)	-1%	(1,015)	(1,027)	-1%
Other impairment	(45)	(65)	-31%	(65)	(65)	0%	(65)	(65)	0%
Associates and JV	(10)	-		(10)	-		(10)	-	
Underlying PBT	7,894	7,582	4%	8,869	8,711	2%	9,510	9,307	2%
Income exceptionals	0	0		0	0		0	0	
Cost exceptionals	-	-		-	-		-	-	
Impairment exceptionals	-	-		-	-		-	-	
Stat profit before tax	7,894	7,582	4%	8,869	8,711	2%	9,510	9,307	2%
Tax	(2,131)	(2,123)		(2,439)	(2,396)		(2,615)	(2,559)	
Minority and prefs	(600)	(600)		(600)	(600)		(600)	(600)	
Statutory AP	5,163	4,859	6%	5,830	5,715	2%	6,294	6,148	2%
Profitability Metrics									
EPS (reported)	236	222	6%	280	275	2%	316	311	2%
EPS (underlying)	236	222	6%	280	275	2%	316	311	2%
Stat ROTE	13.4%	12.5%	0.9%	14.8%	14.4%	0.3%	15.4%	15.0%	0.3%
Underlying ROTE	13.4%	12.5%	0.9%	14.8%	14.4%	0.3%	15.4%	15.0%	0.3%
Key balance sheet items (\$m)									
Loans and advances to customers	297,978	299,715	-1%	307,083	308,792	-1%	316,434	318,115	-1%
Tangible Equity	38,870	39,093	-1%	40,167	40,230	0%	41,766	41,473	1%
TBVPS	18.20	18.36	-1%	19.74	19.88	-1%	21.46	21.54	0%
Capital and Distributions									
CET1 ratio	13.4%	13.6%	-0.2%	13.5%	13.5%	-0.1%	13.6%	13.6%	0.0%
Risk Weighted Assets	271,235	271,879	0%	280,079	280,492	0%	289,253	289,422	0%
DPS (c)	70.7	66.6	6%	83.9	82.6	2%	94.9	93.4	2%
Buyback announced	2,500	2,800	-11%	2,750	3,000	-8%	2,750	3,000	-8%

Source: BofA Global Research estimates

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Price objective basis & risk

Standard Chartered (XCHBF)

Our primary valuation methodology is a Gordon Growth Model based on our 2027e forecast, to which we add the present value of expected dividends. With a 11% cost of equity assumption, this suggests a price to book multiple of 1.5x, reducing to 1.3x when discounted to a year from now at our cost of equity. Applying this to 2026E tangible book value of 1,854c gives a value of 2,456c pre capital return. To this we add the dividends we forecast through to 2027E (also discounted), and adjust for excess capital to the bottom end of management guidance. Using this valuation approach, we arrive at a price objective of HKD209.80.

The upside risks to our PO are: 1. US rates stay higher for longer, terminal rate higher than expected, 2. further stimulus from the Chinese government, 3. Emerging Asia/ Hong Kong loan growth recovers faster than expected.

The downside risks to our PO are: 1. Loan growth remains subdued for longer, 2. Wealth Management flows slow as competition intensifies in the market, 3. Global trade flows reduce more than expected with higher tariffs.

Analyst Certification

I, Emma Xu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Greater China - Financials Coverage Cluster

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BUY				
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	Bank Of Communications Co-A	XNCTF	601328 CH	Winnie Wu
	Bank of Hangzhou	XBHCF	600926 CH	Wenqing Han, CFA
	Bank of Jiangsu	XBJCF	600919 CH	Wenqing Han, CFA
	Bank of Ningbo	XBINF	002142 CH	Wenqing Han, CFA
	Cathay FHC	XCIFF	2882 TT	Michael Li
	China CITIC Bk	CHBJF	998 HK	Emma Xu
	China Construction Bank	CICHF	939 HK	Winnie Wu
	China Construction Bank -A	XCTBF	601939 CH	Winnie Wu
	China Galaxy Securities Co Ltd	XCXYF	601881 CH	Susie Liu, CFA
	China Industrial Bank Co. Ltd.	INBLF	601166 CH	Emma Xu
	China International Capital Corporation	CNICF	3908 HK	Susie Liu, CFA
	China Life Insurance	CLJF	2628 HK	Michael Li
	China Pacific Insurance Group	CHPXF	2601 HK	Michael Li
	China Securities Corp	CSCFF	6066 HK	Susie Liu, CFA
	Chongqing Rural Commercial Bank	COGQF	3618 HK	Wenqing Han, CFA
	Chongqing Rural Commercial Bank - A	XCRQF	601077 CH	Wenqing Han, CFA
	CITIC Securities	CIHF	6030 HK	Susie Liu, CFA
	CITIC Securities -A	CIISF	600030 CH	Susie Liu, CFA
	CTBC FHC	CTFHF	2891 TT	Susie Liu, CFA
	E.Sun FHC	ESUFF	2884 TT	Michael Li
	Fubon FHC	FUISF	2881 TT	Michael Li
	Futu Holdings	FUTU	FUTU US	Emma Xu
	FWD Group	XFGVF	1828 HK	Michael Li
	GF Securities	GFSEF	1776 HK	Susie Liu, CFA
	GF Securities	XMPQF	000776 CH	Susie Liu, CFA
	Guolian Minsheng Securities	XLTYF	601456 CH	Susie Liu, CFA
	Guotai Haitong Securities	GUOSF	2611 HK	Susie Liu, CFA
	Guotai Haitong Securities-A	XOQOF	601211 CH	Susie Liu, CFA
	HKEX	HKXCF	388 HK	Michael Li



Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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	Huatai Securities	XHTLF	601688 CH	Susie Liu, CFA
	Huatai Securities	HUATF	6886 HK	Susie Liu, CFA
	Ind & Comm BK	IDCBF	1398 HK	Winnie Wu
	Ind & Comm BK -A	XIKNF	601398 CH	Winnie Wu
	PICC Group	PINXF	1339 HK	Michael Li
	PICC Property & Casualty	PPCCF	2328 HK	Michael Li
	Ping An Bank	XPABY	000001 CH	Emma Xu
	Ping An Insurance	PIAIF	2318 HK	Michael Li
	Ping An Insurance	XPSPF	601318 CH	Michael Li
	Qifu Technology	QFIN	QFIN US	Emma Xu
	Qifu Technology	XDXRF	3660 HK	Emma Xu
	Sinolink Securities	XERQF	600109 CH	Susie Liu, CFA
	UP Fintech Holding	TIGR	TIGR US	Emma Xu
	Zheshang Securities	XDSEF	601878 CH	Susie Liu, CFA
	ZhongAn Online P&C Insurance	ZZHGF	6060 HK	Michael Li

NEUTRAL

	Agricultural Bank of China	ACGBF	1288 HK	Winnie Wu
	Bank Of China	BACHF	3988 HK	Winnie Wu
	Bank Of China -A	BACZF	601988 CH	Winnie Wu
	Bank of Comm	BKFCF	3328 HK	Winnie Wu
	Bank of Nanjing	XBNMF	601009 CH	Wenqing Han, CFA
	Bank of Suzhou	XCZIF	002966 CH	Wenqing Han, CFA
	BOC Hong Kong Holdings Ltd	BNKHF	2388 HK	Winnie Wu
	Chailease	XCAHZ	5871 TT	Susie Liu, CFA
	China Galaxy Securities Co Ltd	CGXYF	6881 HK	Susie Liu, CFA
	China Intl Capital Corp - A	XCCIF	601995 CH	Susie Liu, CFA
	Jiangsu Changshu Rural Commercial Bank	XBJTF	601128 CH	Wenqing Han, CFA
	Postal Savings Bank of China - A	XPSSF	601658 CH	Winnie Wu
	Standard Chartered	XCHBF	2888 HK	Emma Xu

UNDERPERFORM

	Agricultural Bank Of China-A	XACNF	601288 CH	Winnie Wu
	Bank of E Asia	BKEAF	23 HK	Emma Xu
	Bank of E Asia-A	BKEAY	BKEAY US	Emma Xu
	BOC International (China)	XLFTF	601696 CH	Susie Liu, CFA
	China CITIC Bk -A	CHCKF	601998 CH	Emma Xu
	China Everbright Bank	CEBCF	6818 HK	Emma Xu
	China Everbright Bank	XCBLF	601818 CH	Emma Xu
	China Life Insurance	XCNMF	601628 CH	Michael Li
	China MERCH BK -A	CIHKF	600036 CH	Winnie Wu
	China Merchants Bank	CIHMF	3968 HK	Winnie Wu
	China Merchants Securities	XMRKF	600999 CH	Susie Liu, CFA
	China Merchants Securities	XQJRF	6099 HK	Susie Liu, CFA
	China Minsheng Banking Corp Ltd	CGMBF	1988 HK	Emma Xu
	China Minsheng Banking Corp Ltd -A	CMAKF	600016 CH	Emma Xu
	China Pacific Insurance Group	XQJNF	601601 CH	Michael Li
	China Securities Corp	XCSIF	601066 CH	Susie Liu, CFA
	New China Life	NWWCF	1336 HK	Michael Li
	New China Life	XNWCF	601336 CH	Michael Li
	Orient Securities	XOBNF	600958 CH	Susie Liu, CFA
	Orient Securities	XONQF	3958 HK	Susie Liu, CFA
	PICC Group	XPIDF	601319 CH	Michael Li
	Postal Savings Bank of China	PSBKF	1658 HK	Winnie Wu
	Shanghai Pudong Dev Bank	SHVPF	600000 CH	Emma Xu
	Shanghai Rural Commercial Bank	XQZAF	601825 CH	Wenqing Han, CFA

RVW

	Lufax Holding	LU	LU US	Emma Xu
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iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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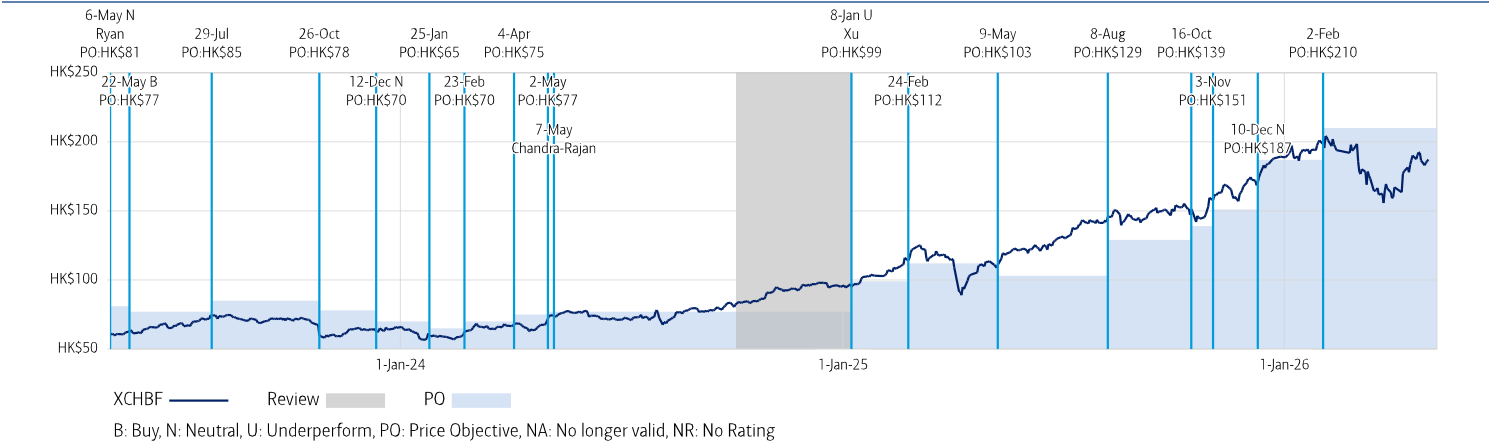
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Disclosures

Important Disclosures

Standard Chartered (XCHBF) Price Chart



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Equity Investment Rating Distribution: Banks Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	117	53.42%	Buy	98	83.76%
Hold	59	26.94%	Hold	47	79.66%
Sell	43	19.63%	Sell	35	81.40%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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